

WHERE THE LTV GRIDS DIFFER			
SCENARIO	DU (FNMA)	LPA (FHLMC)	EDGE
1-Unit Owner Occupied — Purchase / Rate & Term (Fixed), standard path	97%	95%	DU
1-Unit Investment — Rate/Term Refinance	75%	85%	LPA
3–4 Unit Owner Occupied — High Balance / Super Conforming	≤ 75%	80%	LPA
All other occupancy / transaction / unit combinations	Identical	Identical	—
DU 97% requires a fixed-rate loan and, for non-HomeReady purchases without a Community Seconds, at least one first-time homebuyer; rate/term at 97% requires the existing loan to be FNMA-owned. LPA reaches 97% only through HomeOne (first-time homebuyer) or Home Possible (income limits apply). See the companion Conventional (DU) and Conventional (LPA) matrices for the full grids.			

RUN DU FIRST WHEN...
- The borrower needs 97% LTV on the standard path — 1-unit owner-occupied fixed, first-time homebuyer purchase or FNMA-owned rate/term — without affordable-program income limits. - The borrower has \$0 income-driven student loan payments: with documentation, DU can qualify with the \$0 payment, while LPA counts 0.5% of the outstanding balance. - The borrower wants to pay off student loans with equity: FNMA's Student Loan Cash-Out Refinance is a DU-only feature that waives the standard cash-out LLPA when its requirements are met. - The affordable fit is HomeReady (≤ 80% AMI) and its specific flexibilities match the file.

RUN LPA FIRST WHEN...
- The file is a 1-unit investment rate/term refinance above 75% LTV — LPA allows 85% where DU caps at 75%. This is the single biggest grid difference between the two. - The loan is super conforming on a 3–4 unit owner-occupied — LPA allows 80% vs DU's 75% high-balance cap. - The credit file is thin or has no usable score: FHLMC publishes no minimum Indicator Score for LPA Accept loans, while DU requires a 620 average median score. - The affordable fit is Home Possible (≤ 80% AMI) or HomeOne — HomeOne reaches 97% for first-time homebuyers with no income limits.

KEY GUIDELINE DIFFERENCES		
TOPIC	DU (FNMA)	LPA (FHLMC)
Student Loans (\$0 on credit)	Documented \$0 income-driven payment may be used for qualifying.	A payment greater than zero is always required — 0.5% of the outstanding balance when the report shows \$0.
Minimum Credit Score	620 minimum (average median score across all borrowers).	No published minimum Indicator Score for LPA Accept loans.
Rate/Term Terminology	"Limited Cash-Out Refinance" — cash back capped at the lesser of 2% or \$2,000.	"No Cash-Out Refinance" — cash back capped at the greater of 1% or \$2,000.
97% Affordable Program	HomeReady — ≤ 80% AMI income limit.	Home Possible (≤ 80% AMI) and HomeOne (first-time homebuyer, no income limit).
Loan Amounts Above Baseline	"High Balance" — delivered with SFC 808; note-level LTV caps apply.	"Super Conforming" — reduced matrix column applies; see companion LPA matrix.
Cash-Out Seasoning	Aligned: both require 12-month seasoning of the first lien being paid off (subordinate liens exempt).	Aligned: same 12-month first-lien seasoning standard.

Both engines evaluate the full file holistically — a Refer from one is not a Refer from both. When a marginal file misses on the first AUS, run the other before moving to a non-agency program: DU and LPA weigh credit depth, reserves, and DTI compensating factors differently, and either can Approve/Accept a file the other declines. LLPA pricing follows the shared FHFA grid, so AUS choice is an eligibility decision, not a pricing one. Confirm current requirements in the FNMA Selling Guide and FHLMC Seller/Service Guide before locking.